
One Firm, Many Legal Jurisdictions

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Module 3: the third border cost

Distance · currencies · **jurisdictions** · trade rules

Distance became cheap. The currency broke. Today the border is a legal one, and the firm can choose which side of it to stand on.

■ A firm cannot easily move its customers or its engineers. It can move where its profit is reported.

A Brief Writing Exercise

QUESTION

Apple sold products across Europe, booked the profit in Ireland, and paid very little on most of it. Nothing Duhigg and Kocieniewski describe was shown to break a law. Where *should* that profit have been taxed, and by whom? Test your answer: name the rule you would write, and say which country loses revenue if it is adopted.

10 minutes · Individual · Notes permitted · No internet or LLMs

Commit to a rule before we reconstruct the structure.

Where should the profit be taxed?

Now name the country that loses revenue under your rule.

The Structure

The same move, inside one country

8.84% →
0%

California's corporate rate, and
Nevada's

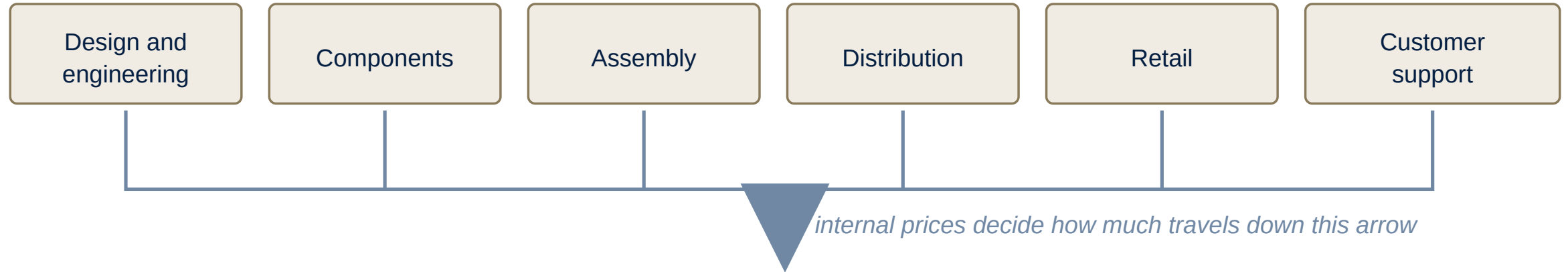
In 2006 Apple opened Braeburn Capital in Reno, 200 miles from Cupertino, to hold and invest the company's cash.

Since then the cash has earned more than **\$2.5bn** in interest and dividends. Nevada charges no corporate income tax and no capital gains tax.

The arrangement also cut what Apple owed in other states, because many reduce the bill when financial management sits elsewhere.

Value is made in many places and reported in one

WHERE THE WORK HAPPENS



WHERE THE PROFIT IS REPORTED

One low-tax jurisdiction

Nothing here is illegal. The question is what determines the size of the arrow.

Transfer pricing is the price a firm charges itself

The rule

Related companies must transact at the price unrelated companies would have agreed.

Tax authorities call this the **arm's-length principle**.

The difficulty

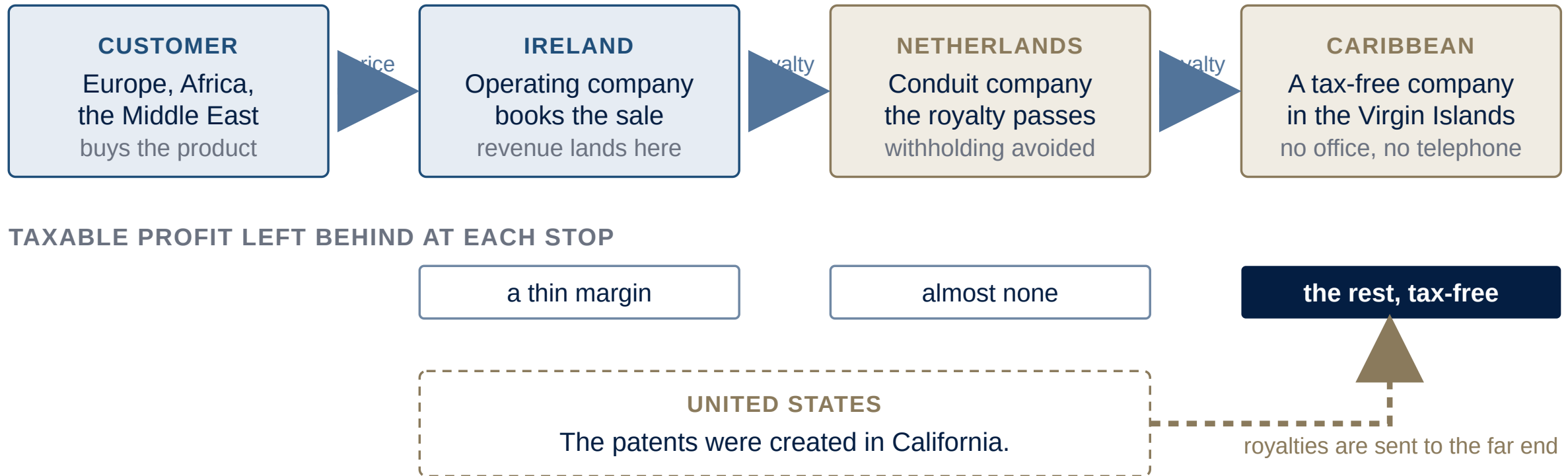
There is no market price for the right to use an iPhone's design.

The asset is unique, so no comparable transaction exists to check the price against.

■ The rule is enforceable for a shipment of steel. It is nearly unenforceable for intangible assets.

The route the profit took

EVERY ARROW BELOW IS A PRICE THE FIRM SET FOR ITSELF



Apple was a pioneer of this structure, and the reporters find that hundreds of corporations later copied it.

Selling in Germany on behalf of Singapore

From the 1980s Apple designated overseas distributors as commissionaires rather than retailers.

A commissionaire never technically takes possession of inventory, so it does not recognise the income.

A salesperson in high-tax Germany could sell on behalf of a low-tax subsidiary in Singapore.

Why it matters

The customer, the shop, and the salesperson do not move.

Only the identity of the legal seller changes, and with it the country that may tax the sale.

■ To the customer the change was invisible. To two treasuries it decided who collected.

A few dozen employees in Luxembourg

When customers across Europe, Africa, or the Middle East downloaded a song, show, or app, the sale was recorded at iTunes S.à r.l. in Luxembourg.

In 2011 that subsidiary's revenue exceeded **\$1bn**, roughly a fifth of iTunes's worldwide sales, from a country of half a million people.

Why the digital case is sharper

A former Apple executive put it plainly: downloads are unlike tractors or steel because there is nothing you can touch.

If you buy from Luxembourg, it is a relationship with Luxembourg.

■ Levinson's container still had to be unloaded somewhere. A download does not.

What the structure was worth

3.2%

Apple's tax rate on foreign profits in 2011, and 2.2% in 2010, in single digits for half a decade

About **70 per cent** of profits were allocated overseas: \$24bn of \$34.2bn.

Worldwide, Apple paid \$3.3bn cash tax on \$34.2bn of profit, a rate of **9.8 per cent**.

Wal-Mart paid **24 per cent** that year.

Sullivan estimated the US bill would have been about \$2.4bn higher had profits been split evenly.

A mile and a half from Cupertino

De Anza College, where Steve Wozniak studied, cut more than a thousand courses and 8 per cent of its faculty after 2008. Its president described a budget “death spiral.”

California faced a shortfall above \$9bn, having cut health programmes, raised university tuition, and proposed deep reductions in school spending.

The college president was clear that he could not afford to press the point, because the school needs every dollar it can get.

The exchange at the City Council

Asked in 2011 whether Apple might provide free Wi-Fi to Cupertino, Steve Jobs answered that this is what taxes are for.

If the company could avoid paying them, he said, he would gladly put up Wi-Fi.

The firm's defence, and the argument underneath it

What the company said

It complied with applicable laws and accounting rules, and is consistently among the world's largest taxpayers.

In 2026 it added that corporate income tax is paid where assets are held, while VAT is paid where consumers are.

Executives argued privately that paying more would disadvantage them against rivals doing the same.

The deeper claim in the reporting

Tax codes were written for an industrial age and are ill suited to a digital economy.

Value now sits in royalties and downloads, which can be sold from anywhere.

■ If the rules produce this result, the interesting question is why no government has changed them.

Group Activity

Sort the moves

Classify each move: **ordinary business choice** · **tax planning** · **abuse of the rules** · **illegal**. Then name the government that lost revenue, if any.

1. Placing a subsidiary in Reno to hold investment income
2. Sending royalties on California patents to an Irish subsidiary
3. Letting a German salesperson sell on behalf of Singapore
4. Routing the royalty onward through the Netherlands
5. Booking every European app download in Luxembourg
6. Ireland granting tax breaks in exchange for jobs in Cork
7. California cutting taxes for firms operating out of state
8. Moving the intellectual property into Ireland when the route closed

Pick the one your group could not agree on. Was the difficulty the facts, the law, or your standard?

10 minutes · Groups of 3–4

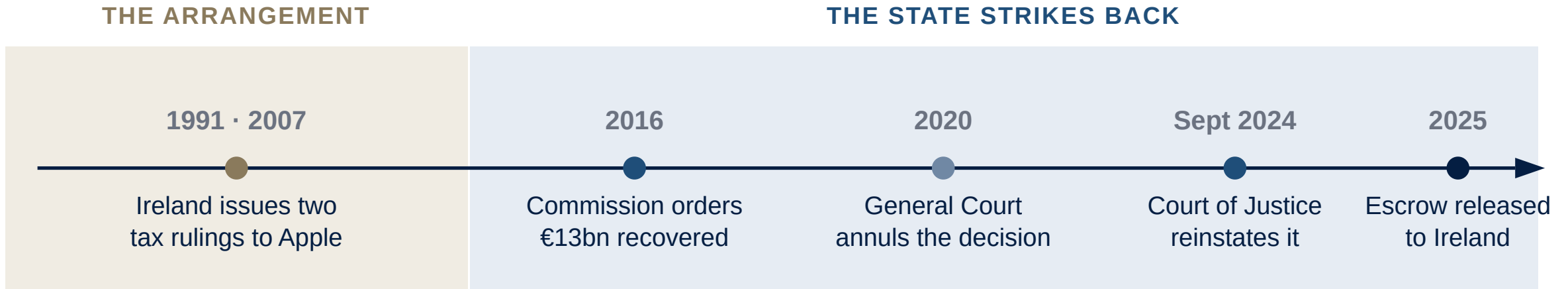
In your team's industry, what is the most valuable thing the firm owns, and where could it be legally held?

A firm whose value sits in a patent, a brand, or a data set has options that a firm whose value sits in a mine or a rail line does not.

3 minutes · Industry teams

The State Strikes Back

Ireland was ordered to collect tax it did not want



Ireland spent eight years and considerable public money resisting a judgment worth €13 billion to its own treasury.

The company that lived nowhere

What the rulings allowed

Most of the profit of the Irish companies was attributed to a “head office.”

That head office had no premises, no employees, and no activity of its own.

What the Court held in 2024

The profits should have been allocated to the Irish branches that actually did the work.

Ireland had granted an advantage available to no one else, producing a rate below 1 per cent.

■ The structure collapsed on the question of whether an entity that does nothing can earn anything.

What the ruling cost, and what disclosure revealed

\$17bn

income tax Apple paid to Ireland in the year to September 2025, out of \$43bn paid worldwide

That is **40 per cent** of its worldwide corporate income tax, in a country holding about **3 per cent** of its workforce.

A quarter of Apple's global pre-tax profit was booked through its Irish entities.

The figures are public because new EU rules require a country-by-country breakdown.

The same firm, two European countries

Ireland

5,575 employees

\$6m of pre-tax profit per employee

Germany

4,089 employees

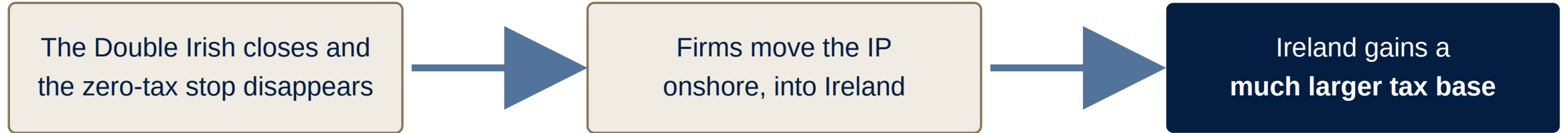
\$51,000 of pre-tax profit per employee

Comparable headcounts, and a difference of more than a hundredfold in the profit each worker appears to generate.

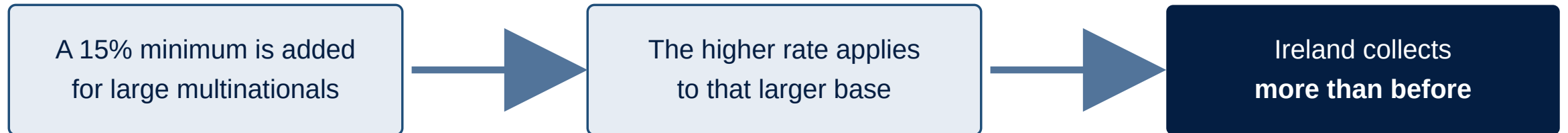
The Reform Paradox

Every reform ran through Ireland

FIRST WAVE · THE HAVENS CLOSE



SECOND WAVE · THE MINIMUM RATE



Both reforms were designed to stop profit shifting. Both ran through Ireland.

Setser's argument: each attempt to tax these profits enlarged the system that books them in Ireland.

Ireland's position is now a dependence

≈€35bn

Irish corporation tax revenue in 2025,
on close to €300bn of profit reported
there by foreign multinationals

Setser puts a little under half of that down to **three companies**: Apple, Microsoft, and Eli Lilly. Their combined Irish payments come to over **€16bn**.

Microsoft books more than 80 per cent of its offshore profit in Ireland.

A state that depends on three firms for much of its tax revenue is in a bargaining relationship, not a regulatory one.

The revenue did not vanish. It changed government.

Eli Lilly's cash tax payments to Ireland in 2025 were twice its US federal tax payments, largely on profit generated by sales in the United States.

Setser's judgement is that the United States should not keep a tax code that both allows and rewards moving its tax base offshore.

■ Every rule change so far has moved the base to another state. None has made it disappear.

How he makes it vivid

He converts the forgone US revenue into warships: roughly four nuclear attack submarines a year from three firms.

The question to ask

Is that the right frame for what is, on his own account, a dispute between two friendly governments?

Three lessons about the legal border

The border is chosen

Distance and currency were imposed on the firm. Where profit is reported is decided by the firm, within rules states write.

Rules follow the old economy

Allocation rules were built for physical assets. Rights and downloads have no location the rules can hold onto.

Reform reassigns, it does not abolish

Every rule change moved the tax base to another state. None of them made it disappear.

Tax competition is states bidding for a base that firms can place. The bidding does not end when the rules tighten.

Reflection: Return to your IB Voice

Would your rule have survived contact with the firms and the states in this session?

Revisit the rule you wrote at the start. Say what it would have done to the profit in this case, and name the government that would have fought it.

If states compete for the same tax base, why do they ever agree on common rules?

Irwin and Rivoli on trade agreements: the same problem of competing national claims, settled through negotiation rather than litigation.